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impact. Powerful countries, including India, Imperial China, the Mughal Empire, and the Japanese shogunate at first merely tolerated the Europeans as traders, allowing them to control only a few islands or enclaves along the coast, as long as they did not interfere or become too troublesome.

Economic growth

From the second half of the 17th century, signs of economic growth accelerated in Europe. Productivity of labor in trades and agriculture increased notably in areas like the Dutch Netherlands. New financial institutions, such as central banks and joint stock companies, laid the foundations of modern capitalism. Complex patterns of maritime trade linked European colonies in the Americas to Europe, Africa, and Asia. Enslaved people, mostly bought by European traders in West Africa, were transported in vast numbers to work on colonial plantations, so that in some parts of the New World people of African descent greatly outnumbered both Europeans and the native population. At home, Europeans consumed luxury goods from China and India, and products such as sugar and coffee from plantations in the Caribbean

and Brazil. North America, the West Indies, and India were all regions of colonial contention—the precipitous decline of the Mughal Empire having opened up parts of India to European territorial conquest.

Intellectual movements

Even at this stage, the degree of European ascendancy should not be exaggerated. China had gone through difficult times in the mid-17th century transition from the Ming to the Qing dynasty, but in the 18th century, imperial China was enjoying a golden age of power and prosperity. The population of Europe had begun a steep increase to unprecedented levels—a result of improved food production and declining epidemic diseases—but China also experienced rapid population growth.

What really marked out Europe as unique at this time was the development of knowledge and thought. The 17th-century scientific revolution began a transformation of our understanding of the universe. The rationalist movement known as the Enlightenment challenged all preconceptions, traditions, and conventions. The modern world was under construction in the European mind. ■